

O

OA

NO INCOMING LINKS

See [Owners Association](#).

Obligated to Write

[Glossary Term Usage](#) | See Topic(s): [405](#)

A circumstance in which an entity has no discretion to cancel a policy because of legal obligation under state statute, contract terms, or regulatory practice and is required to offer or issue insurance policies for a period in the future.

Obligation

[Glossary Term Usage](#) | See Topic(s): [480](#)

A conditional or unconditional duty or responsibility to transfer assets or to issue equity shares. Because Topic [480](#) relates only to financial instruments and not to contracts to provide services and other types of contracts, but includes duties or responsibilities to issue equity shares, this definition of obligation differs from the definition found in FASB Concepts Statement No. 6, Elements of Financial Statements, and is applicable only for items in the scope of that Topic.

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

A conditional or unconditional duty or responsibility to transfer assets or to issue equity shares. This definition is applicable only for items within the scope of Topic [480](#).

Obligations Subject to Compromise

[Glossary Term Usage](#) | See Topic(s): [852](#)

Includes all prepetition liabilities ([claims](#)) except those that will not be impaired under the plan, such as claims in which the value of the security interest is greater than the claim.

Observable Inputs

[Glossary Term Usage](#) | See Topic(s): [820](#)

Inputs that are developed using market data, such as publicly available information about actual events or transactions, and that reflect the assumptions that market participants would use when pricing the asset or liability.

Offering Costs

[Glossary Term Usage](#) | See Topic(s): [946](#)

Offering costs include all of the following:

- a. Legal fees pertaining to the investment company's shares offered for sale
- b. Securities and Exchange Commission (SEC) and state registration fees
- c. Underwriting and other similar costs
- d. Costs of printing prospectuses for sales purposes
- e. Initial fees paid to be listed on an exchange
- f. Tax opinion costs related to offering of shares
- g. Initial agency fees of securing the rating for bonds or preferred stock issued by closed-end funds.

Oil- and Gas-Producing Activities

[Glossary Term Usage](#) | See Topic(s): [220](#) , [932](#)

Paragraph [932-10-15-2A](#) defines the term *oil- and gas-producing activities*.

One-Time Employee Termination Benefits

[Glossary Term Usage](#) | See Topic(s): [220](#) , [420](#)

Benefits provided to current employees that are involuntarily terminated under the terms of a one-time benefit arrangement.

Ongoing Economic Interest in the Net Assets of Another

[Glossary Term Usage](#) | See Topic(s): [958](#)

A residual right to another not-for-profit entity's (NFP's) net assets that results from an ongoing relationship. The value of those rights increases or decreases as a result of the investment, fundraising, operating, and other activities of the other entity.

Open Year Method



[Glossary Term Usage](#) | See Topic(s): [944](#)

A revenue recognition method under which underwriting results of foreign reinsurance are not included in the income statement until sufficient information becomes available to provide reasonable estimates of earned premiums.

Operating Lease



[Glossary Term Usage](#) | See Topic(s): [220](#) , [450](#) , [805](#) , [810](#) , [842](#) , [970](#)

From the perspective of a [lessee](#), any [lease](#) other than a [finance lease](#).

From the perspective of a [lessor](#), any lease other than a [sales-type lease](#) or a [direct financing lease](#).

Operating Activities



[Glossary Term Usage](#) | See Topic(s): [230](#)

Operating activities include all transactions and other events that are not defined as investing or financing activities (see paragraphs [230-10-45-12 through 45-15](#)). Operating activities generally involve producing and delivering goods and providing services. Cash flows from operating activities are generally the cash effects of transactions and other events that enter into the determination of net income.

Operating Cycle



[Glossary Term Usage](#) | See Topic(s): [210](#) , [326](#) , [470](#)

The average time intervening between the acquisition of materials or services and the final cash realization constitutes an operating cycle.

Operating Segment



[Glossary Term Usage](#) | See Topic(s): [280](#) , [350](#) , [360](#)

A component of a public entity. See Section [280-10-50](#) for additional guidance on the definition of an operating segment.

Option



[Glossary Term Usage](#) | See Topic(s): [260](#) , [718](#)

Unless otherwise stated, a call option that gives the holder the right to purchase shares of common stock from the reporting entity in accordance with an agreement upon payment of a specified amount. Options include, but are not limited to, options granted and stock purchase agreements entered into with grantees. Options are considered securities. See [Call Option](#).

Orchard

[Glossary Term Usage](#) | See Topic(s): [905](#)

Fruit trees planted in geometric patterns to economically facilitate care of the trees and harvest of the fruit. See also [Grove](#).

Orderly Transaction

[Glossary Term Usage](#) | See Topic(s): [321](#) , [326](#) , [350](#) , [805](#) , [820](#) , [832](#) , [842](#)

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Ordinary Course of Business

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [810](#) , [958](#) , [970](#)

Decisions about matters of a type consistent with those normally expected to be addressed in directing and carrying out current business activities, regardless of whether the events or transactions that would necessitate such decisions are expected to occur in the near term. However, it must be at least reasonably possible that those events or transactions that would necessitate such decisions will occur. The ordinary course of business does not include self-dealing transactions.

Definition 2 | SEC Definition | [Glossary Term Usage](#) | See Topic(s): [942](#)

See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e)(4), for the definition of ordinary course of business for the purpose of Regulation S-X Rule 9-03.

Ordinary Income (or Loss)

[Glossary Term Usage](#) | See Topic(s): [740](#)

Ordinary income (or loss) refers to income (or loss) from continuing operations before income taxes (or benefits) excluding significant unusual or infrequently occurring items. Discontinued operations and cumulative effects of changes in accounting principles are also excluded from this term. The term is not used in the income tax context of ordinary income versus capital gain. The meaning of unusual or infrequently occurring items is consistent with their use in the definitions of the terms [unusual nature](#) and [infrequency of occurrence](#).

Original Contract

[Glossary Term Usage](#) | See Topic(s): [944](#)

A contract that was initially entered into by the contract holder before any potential internal replacement activity.

Originator's Acquisition Cost

[Glossary Term Usage](#) | See Topic(s): [948](#)

Costs incurred by a mortgage banking entity that originates mortgage loans for a lender that intends to hold the loans to maturity. The originator's acquisition cost is equal to the principal amount of the loan adjusted for unamortized net fees and costs and any unearned discounts or premiums.

Orphan Share

[Glossary Term Usage](#) | See Topic(s): [410](#)

Equitable share of liability for response or remediation costs attributed to orphan-share potentially responsible parties, or the amount by which the equitable share of liability for response or remediation costs attributable to other parties exceeds the amount for which those parties have settled their liability.

Orphan Share Potentially Responsible Party

[Glossary Term Usage](#) | See Topic(s): [410](#)

An identified [potentially responsible party](#) that cannot be located or that is insolvent. Some of these parties may be identified by the Environmental Protection Agency; others may be identified as the site is investigated or as the remediation is performed. However, no contributions will ever be made by these parties.

Other Comprehensive Income

[Glossary Term Usage](#) | See Topic(s): [220](#) , [815](#) , [954](#)

Revenues, expenses, gains, and losses that under generally accepted accounting principles (GAAP) are included in [comprehensive income](#) but excluded from [net income](#).

Other Postemployment Benefits

[Glossary Term Usage](#) | See Topic(s): [220](#) , [712](#)

Benefits, other than special or contractual termination benefits, that are provided by an employer to former or [inactive employees](#) after employment but before retirement including benefits provided to beneficiaries and covered dependents.

Other Price Risk

[Glossary Term Usage](#) | See Topic(s): [820](#)

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer or by factors affecting all similar financial instruments traded in the market.

Overall Deal

[Glossary Term Usage](#) | See Topic(s): [926](#)

An arrangement in which an entity compensates a producer or other creative individual for the exclusive or preferential use of that party's creative services.

Owners

[Glossary Term Usage](#) | See Topic(s): [805](#) , [810](#) , [845](#)

Used broadly to include holders of ownership interests ([equity interests](#)) of investor-owned entities, mutual entities, or not-for-profit entities. Owners include shareholders, partners, proprietors, or members or participants of mutual entities. Owners also include owner and member interests in the net assets of not-for-profit entities.

Owners Association

[Glossary Term Usage](#) | See Topic(s): [978](#)

A body of owners formed to administer the rules and regulations of a time-sharing project. Also denoted homeowners association, interval owners association, property owners association, or vacation owners association.